

If the company does not intend to utilize investments for a long period of time, debt may not be the best place to invest majority assets. However, we need to understand this in a case by case manner.

Thus, these are the questions we need to ask related to long-term investments:

The percentage of total assets in the form of long-term investments

Compare the return with the long-term WACC

Determine the purpose of long-term investment.

This is how we can understand how the company manages its investments.

In the next section, we will cover other non-current assets.

